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KSE-100 **V**

172,642

▼ 0.57% Tue · -994
pts

S&P 500 **V**

▼ **0.58%**

Nasdaq -0.32% ·
Dow -1.18%

US 10Y / 2Y **V**

4.79 / 4.38

10Y briefly topped
4.8%

BRENT / WTI **V**

\$97.4 / \$92.8

3-month highs ·
Hormuz risk

GOLD **V**

\$4,394

-0.3% · silver \$65.7

USD/PKR **V**

277.37

interbank ·
marginally firmer

01 Five Things You Need To Know To Start Your Day

KSE-100 FALLS FOR SECOND DAY

The benchmark eased **993.92 points (0.57%)** to close at 172,642.16 on Tuesday, retreating from an intraday high of 173,736.19 to a low of 171,490.63 as selling persisted for a second straight session. Volume rose to 722.62 million shares worth Rs27.94bn, though breadth stayed decisively negative at 101 advancers to 359 decliners (36 unchanged) out of 496 traded names. **UBL, LUCK, MEBL, NBP and PPL** dragged the index down roughly 485 points; PSEL, MCB and ATRL offset with about 199 points combined. Topline Securities said the bourse “came under pressure today as the ongoing US-Iran conflict and elevated international oil prices continued to weigh on investor sentiment.” Sources: [Business Recorder](#), [The Express Tribune](#). Sentiment: **risk-off close**.

OIL HOLDS NEAR THREE-MONTH HIGHS

Brent settled near **\$97.4/bbl** (+0.26%) and WTI topped \$94/bbl intraday before paring to around **\$92.8/bbl**, both holding near three-month highs as the ongoing US-Iran conflict keeps traffic through the Strait of Hormuz — which historically carried roughly 20% of global oil trade — severely restricted. OPEC+'s seven core members (Saudi Arabia, Russia, Iraq, Kuwait, Kazakhstan, Algeria and Oman, following the UAE's May exit from the group) held October quotas unchanged at their 6 September meeting. Sources: [Trading Economics](#), [Gulf News](#). Sentiment: **elevated supply risk**.

CANADA FIRES BACK WITH TARIFFS

Canada's counter-tariffs on roughly **\$20–27.6bn** of US goods — spanning steel, aluminium (duties doubled to 50%), dairy, appliances, agri-equipment and pulp and paper — took effect Tuesday, matching Washington's levies dollar-for-dollar. The Trump administration responded with fresh import bans on Canadian dairy, motorcycles and alcoholic beverages due 29 September, adding a second macro headwind alongside firmer oil to Tuesday's US equity slide. Sources: [Al Jazeera](#), [Canada.ca](#). Sentiment: **escalating trade risk**.

FED DECISION NOW A COIN FLIP

CME FedWatch odds of a 25bp hike at the **16 September FOMC** have eased to roughly 50–56% from 58–60% shortly after Jackson Hole, with Kalshi (48%) and Polymarket (49%) also pricing a near coin-flip outcome. The 10-year Treasury briefly ticked back above **4.8%** on Tuesday before settling near 4.79%, with the 2-year flat at 4.38%, as traders weighed Chair Warsh's hawkish tone against fiscal-risk concerns flagged by Treasury Secretary Scott Bessent. Sources: [CNBC](#), [CNBC](#). Sentiment: **finely balanced, yields firm**.

IMF MISSION HOMES IN ON SWF BILL

Pakistan's **Sovereign Wealth Fund (Amendment) Bill, 2026**, tabled in the Senate and referred to its Standing Committee on Finance and Revenue, is expected to be a focus of the IMF's fourth EFF and third RSF review mission due in Islamabad this month; the bill adds fiscal safeguards, tightens governance and expands disclosure requirements for SWF-held state enterprises. It lands against a backdrop of August CPI at **11.1% y/y**, an SBP policy rate held at 11.5% and 6-month KIBOR at 11.86%. Sources: [Business Recorder](#), [ProPakistani](#). Sentiment: **governance reform, IMF scrutiny**.

02 Regional Market & Economic Matrix

A. Local Market — Pakistan Focus

Pakistan's tape extended its slide for a second session: the KSE-100 fell 993.92 points (0.57%) to close at 172,642.16 on Tuesday, having shed almost 2,700 points over two sessions as the ongoing US-Iran conflict and a firmer oil tape unsettled investors. Breadth stayed negative at 101 advancers to 359 decliners out of 496 names, with **UBL, LUCK, MEBL, NBP and PPL** the heaviest drags (~485 points) against a partial offset from PSEL, MCB and ATRL (~199 points); volume rose to 722.62 million shares worth Rs27.94bn. On policy, the government's **Sovereign Wealth Fund (Amendment) Bill, 2026** is before the Senate Standing Committee on Finance and Revenue, a governance overhaul the IMF is expected to scrutinise when its fourth EFF/third RSF review mission arrives this month. August CPI held at 11.1% y/y, the SBP's policy rate stays at 11.5%, 6-month KIBOR sits at 11.86%, and USD/PKR interbank was little changed near 277.37. Sources: [Business Recorder](#), [Business Recorder](#).

B. GCC & Middle East

Gulf oil benchmarks held near three-month highs as the US-Iran conflict kept traffic through the Strait of Hormuz severely restricted: Brent settled around \$97.4/bbl and WTI near \$92.8/bbl after topping \$94 intraday. OPEC+'s seven core producers — Saudi Arabia, Russia, Iraq, Kuwait, Kazakhstan, Algeria and Oman, following the UAE's exit from the group in May — held October quotas unchanged at their 6 September meeting, continuing the existing roadmap into year-end. Saudi's PIF, meanwhile, is executing its board-approved **2026–2030 strategy**, having launched the Gulf Coast Development Company on 7 September to build an integrated coastal destination at Al-Khafji, part of a broader push into tourism, urban development and clean energy under Vision 2030. Sources: [Gulf News](#), [PIF](#).

C. Global Intelligence

US equities fell for a second straight session Tuesday as a firmer oil tape and an escalating US-Canada trade war outweighed any Fed relief: the S&P 500 slipped 0.58% to 7,673.52, the Dow dropped 1.18% (over 600 points) to 52,786.07 and the Nasdaq eased 0.32% to 26,421.41. Canada's retaliatory tariffs on \$20–27.6bn of US goods took effect the same day, and Washington answered with fresh import bans on Canadian dairy, motorcycles and alcohol from 29 September. The 10-year Treasury briefly topped 4.8% before settling near 4.79%, with the 2-year flat at 4.38%, as fiscal-risk concerns flagged by Treasury Secretary Scott Bessent added to hawkish-Fed positioning ahead of the 16 September FOMC, where CME FedWatch now prices roughly a 50–56% hike probability. Gold eased to \$4,394/oz and silver held near \$65.7/oz. Sources: [CNBC](#), [CNBC](#).

03 Legislative & Regulatory Tracker — Who Wins, Who Loses

Jurisdiction	Legislation / Policy Change	Affected Sector(s)	Net Impact & Strategic Outlook
Local — Pakistan	Sovereign Wealth Fund (Amendment) Bill, 2026 — tabled in the Senate and referred to its Standing Committee on Finance and Revenue, tightening SWF governance, fiscal safeguards and disclosure ahead of the IMF's fourth EFF/third RSF review mission.	State-owned enterprises, sovereign fund-held assets, banks	Wins: Investors and IMF stakeholders gain clearer governance and disclosure standards, potentially easing the path to the next EFF/RSF tranche release. Loses: SWF-held state enterprises face tighter accountability and reporting obligations, raising near-term compliance costs.
Regional — GCC	OPEC+'s seven core members held October production quotas unchanged at their 6 September meeting, continuing the existing roadmap into year-end as Brent holds near three-month highs.	Oil & gas majors, Gulf shipping/insurance, non-oil private sector	Wins: Producers retaining current quotas amid a firm oil tape near \$97/bbl, and Saudi's PIF-backed diversification projects such as the Gulf Coast Development Company. Loses: Gulf shippers, insurers and energy importers exposed to a persistent Hormuz risk premium.
Global	Canada's retaliatory tariffs on roughly \$20–27.6bn of US goods took effect 8 September, doubling steel and aluminium duties to 50% and hitting dairy, appliances and pulp and paper.	US & Canadian steel, aluminium, dairy, agri-equipment, autos	Wins: Non-US/Canada steel and aluminium exporters gaining relative price competitiveness. Loses: US exporters facing the new Canadian tariffs, and US consumers — studies suggest importers absorb the bulk of tariff costs — ahead of Washington's own import bans on Canadian goods from 29 September.

04 The Day Ahead — KSE-100 Levels & Desk Stance

SUPPORT EST.

171,500

Tuesday's intraday low (171,491); deeper support at 170,000

PIVOT EST.

172,642

Tuesday's close

RESISTANCE EST.

173,740

Tuesday's intraday high (173,736); then 175,350

Tuesday's 485-point drag from **UBL, LUCK, MEBL, NBP and PPL** against a thin 199-point offset from PSEL, MCB and ATRL, alongside breadth of 101 advancers to 359 decliners and rising volume (722.62m shares vs 679.19m Monday), suggests the two-day, nearly 2,700-point slide reflects sustained distribution rather than a one-off shock. The proximate triggers — an unresolved US-Iran conflict keeping Brent near \$97.4/bbl, a widening US-Canada trade war, and a finely balanced 16 September FOMC (hike odds near 50–56%) — are unlikely to clear before the Fed decision. We'd stay defensive on broader beta into the FOMC while retaining selective exposure to banks and E&P names that benefit from a firmer oil tape, alongside SWF-adjacent names positioned to benefit from tighter governance ahead of the IMF's review mission. All levels are indicative desk estimates, not recommendations.

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